

Life Insurance

You may or may not need life insurance, depending on your personal situation. To figure out whether or not you need life insurance, consider its purpose, which is to replace income in the event of the policyholder's death. If you're single and have no dependents, nobody is relying on the income you bring in, so you don't need life insurance.

However, if you're certain that you want to have a family (and you are otherwise financially healthy—eliminating debt, saving for retirement, etc.), you might take a look at a term policy. By purchasing a policy while you're young, you lock in lower costs. Further, you can buy a policy before any health problem rears its head and you become uninsurable (or insurance becomes more expensive due to your health problems).

If your salary is important to supporting your family, paying the mortgage, or sending your kids to college, life insurance can ensure that these financial obligations are covered in the event of your death. However, just because you're not receiving a signed paycheck doesn't mean you don't contribute to your family's income. If you are a stay-at-home mom, and something happened to you, your spouse is probably going to need some outside help to cover your absence. In 2006, financial guru Dave Ramsey estimated a \$300,000–\$400,000 policy would be necessary to make up the costs of everything a stay-at-home mom does every day.



Should I buy life insurance policies on my kids?

Although insurance companies use advertising that pulls on your heartstrings to encourage parents to buy life insurance on their kids, it's unnecessary. Your kids don't produce income and therefore their lives don't need to be insured. You'd be better off putting the money you'd spend into a savings account.
